

Income Elasticity of Demand

▼ What is income elasticity of demand?

Refers to the responsiveness of demand in response to a change in income, YED

▼ What is the formula for YED?

$$YED = \frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in income}}$$

▼ What are normal and inferior goods for YED?

Normal goods > 0

As income increases, demand for the product increases

Inferior goods < 0

As income increases, demand for the product decreases

▼ What are necessities and luxuries for YED?

Necessities: $0 < YED < 1$

The percentage change in income is greater than the percentage change in quantity demanded

Luxuries: $YED > 1$

The percentage change in income is less than the percentage change in quantity demanded

